

What Retiring Abroad Does to Your Income

The same retirement, modelled in the United States, the United Kingdom, Canada and Australia — and what actually changes.

Why this guide exists

“Best places to retire” lists rank countries on cost of living and sunshine. Almost none of them run the same retirement through each country’s tax and healthcare rules to see what is actually left to spend. This guide does exactly that, and publishes the method so you can check it.

Three findings that surprised us

1. The ranking reorders as you age

The country that leaves you best off at 62 is not the one that leaves you best off at 70. Claiming ages, healthcare eligibility and pension start dates all land at different times, so any single-age comparison is a snapshot of one moment, not a verdict.

2. The UK’s advantage after 67 is healthcare, not tax

From age 67 the UK and US total tax bills converge almost exactly, because the Foreign Tax Credit caps out at the US liability. Whatever advantage remains is healthcare cost, not tax efficiency — which matters, because healthcare is the part most likely to change under you.

3. Portfolio size changes the answer

The best country at \$600,000 is not the best country at \$2.5 million. Progressive tax bands and means-tested healthcare interact differently at different levels, so a recommendation that ignores your balance is guessing.

How to use this

Treat country choice as one variable in a plan, not a decision made in isolation. Model your own numbers at several ages, then check which finding above actually applies to you — the free comparison tool below runs the same engine used here.

Free tool: <https://airetirementincomeplanner.com/retire-abroad.html>

Full method: <https://airetirementincomeplanner.com/cross-border-methodology.html>

Raw data (CC BY 4.0): <https://airetirementincomeplanner.com/cross-border-retirement-data-study.html>

What the model does and does not include

Every comparison rests on assumptions, and the honest thing is to name them. The methodology page lists them in full, including the known limitation that the Canadian and Australian figures apply local tax without a US layer. We publish that rather than quietly rounding past it.

Where to go next

Put these numbers to work in the AI Retirement Income Planner — it models income, taxes, Social Security, healthcare and withdrawals month by month, privately in your browser. Try the free demo at <https://airetirementincomeplanner.com/demo.html>.

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